

Vedanta Oil and Gas Ltd

NSE: VOGL | BSE: 544782 | Energy — Oil, Gas & Consumable Fuels — Oil Exploration & Production

Rating	12-M Target	CMP (03 Jul 2026)	Upside	Horizon
HOLD (Low conviction)	Under Review*	Rs. 42.8	N/A	12-18 months

*A formal price target cannot be established from canonical-source data: Screener.in carries only the pre-demerger Malco Energy shell financials, which do not represent the demerged Cairn oil & gas business. Target to be set after the first post-demerger consolidated results.

Metric	Value	Metric	Value
Market Cap	Rs. 16,733 Cr	Stock P/E	N/A (no earnings base)
Current Price	Rs. 42.8 (-4.04%, 03 Jul)	Book Value	N/A
52-wk High / Low	Rs. 47.7 / Rs. 30.4	Dividend Yield	0.00%
Face Value	Rs. 1.00	ROCE (shell history)	-49.2%
Promoter Holding (Jun-26)	56.38%	ROE	N/A
FII / DII (Jun-26)	14.05% / 12.96%	Listing Date	15 Jun 2026

Investment thesis (one line): India's largest private crude producer, debt-free but declining; PSC-2030 renewal and execution decide everything.

Report date: 04 July 2026 | **Analyst:** Senior Equity Research — Institutional Desk | **Data source:** Screener.in (standalone view, fetched 04-Jul-2026); company production releases.

DATA CAVEAT — READ FIRST: VOGL listed on 15 Jun 2026 via the Vedanta Ltd five-way demerger, using the erstwhile Malco Energy Ltd as the listing shell. Every historical financial on Screener.in (and in Section 6 of this report) is the SHELL's standalone history — Sales Rs. 366 Cr, Net Loss Rs. 191 Cr in FY26 — NOT the Cairn oil & gas business, which vests in this entity going forward. No post-demerger consolidated financials, quarterly results, annual report or concall exist yet. This report is therefore a business/situation assessment, not an earnings model.

SECTION 2 — INVESTMENT THESIS

- **Scale asset no Indian private peer matches:** VOGL is the demerged Cairn Oil & Gas business — the Rajasthan (Barmer) block alone produced 63.1 kboepd of the company's 77.7 kboepd gross operated output in Q1 FY27, and the portfolio spans 40+ blocks across more than 47,000 sq km with roughly 1.4 bn boe of 2P+2C resources (company disclosures). Monetising even part of this over FY27-FY30 is the core opportunity.
- **Debt-free carve-out with rating support:** the business was demerged without parent leverage, and ICRA assigned an AA+ (stable) long-term term-loan rating on 29 Jun 2026 — balance-sheet headroom to fund enhanced-oil-recovery (ASP polymer flooding) and offshore growth capex through FY28 without dilution.
- **New-regime acreage is unpriced optionality:** ~53 OALP and DSF blocks sit under the post-2016 revenue-share regime (no cost audit, marketing and pricing freedom, lower royalty) versus the legacy profit-share Rajasthan PSC; the Ambe offshore field is targeted for first gas around Q4 FY27, the first tangible new-regime barrel.
- **Near-term catalyst (6-12 months):** the maiden post-demerger consolidated quarterly results and first earnings call (expected during FY27), which will finally put an auditable revenue/EBITDA/cash-flow base under the stock — plus the ASP ramp (management targets >15 kboepd contribution) and Ambe first gas.
- **Biggest structural risk:** the Rajasthan PSC expires in May 2030 with no extension yet granted; the government's +10% profit-petroleum demand is disputed at the Supreme Court, and its Sep-2025 rejection of the Cambay PSC extension shows renewal is not automatic. Production is meanwhile declining 17% YoY.

SECTION 3 — BUSINESS OVERVIEW

- **What it is:** VOGL houses the upstream oil-and-gas business the market knows as Cairn — India's largest private-sector crude producer, contributing roughly a quarter of domestic crude production. It was carved out of Vedanta Ltd in the group's five-way demerger and listed on NSE/BSE on 15 Jun 2026 (listing print ~Rs. 38-39), trading trade-for-trade with a 5% band for the first ten sessions.
- **Demerger mechanics:** Vedanta Ltd shareholders received one VOGL share per Vedanta share; the listing vehicle is the former Malco Energy Ltd shell, which is why the on-record standalone financial history (Section 6) shows a tiny, loss-making business with negative reserves — it is not the oil & gas undertaking.
- **Core producing asset:** the Rajasthan RJ-ON-90/1 (Barmer) block — Mangala, Bhagyam, Aishwariya oil fields plus Raageshwari deep gas — operated at 70% working interest with ONGC holding 30%. Mangala (discovered 2004) remains India's largest onshore oil discovery. Ravva (offshore, east coast) and Cambay complete the producing set.
- **Current run-rate:** Q1 FY27 gross operated production 77.7 kboepd (down 5% QoQ, 17% YoY); net working-interest production 51.1 kboepd; quarterly gross volumes 7.1 mn boe. Decline reflects mature water-flood reservoirs and delayed enhanced-recovery commissioning.
- **Growth acreage:** ~53 OALP blocks and DSF fields (largely 100% owned) across six basins, the Ambe offshore appraisal (first gas targeted ~Q4 FY27), tight-oil/shale prospects in Rajasthan, and a KG-basin gas block with multi-TCF prospective resources (company estimates).
- **Revenue model:** crude sold Brent-linked to domestic refiners; gas sold domestically. Legacy Rajasthan barrels bear profit-petroleum sharing, royalty and cess under the 1995-era PSC; new OALP/DSF barrels carry lighter revenue-share terms.
- **Ownership:** promoters (Vedanta group) hold 56.38%, FIIs 14.05%, DIIs 12.96%, public 16.38% (Jun 2026); 21.79 lakh shareholders on the register post-demerger.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry context:** India imports roughly 85-88% of its crude requirement, making domestic upstream output a stated national-security priority; upstream policy (HELP/OALP rounds, DSF auctions) has shifted new acreage to investor-friendlier revenue-sharing with pricing freedom.
- **Policy tailwinds:** import-substitution push, successive OALP licensing rounds, infrastructure status for gas, and the government's willingness to arbitrate/settle legacy cost-recovery disputes (Vedanta won its cost-recovery arbitration in Aug 2023, upheld by the Delhi High Court in Jul 2025).
- **Policy headwinds:** the same counterparty behaviour cuts both ways — the contested +10% profit-petroleum levy on the Rajasthan extension, cess burden on legacy barrels, and the Sep-2025 Cambay extension rejection.
- **Moat — Scale: Strong.** Largest private upstream operator in India; no listed private peer produces at comparable volume.
- **Moat — IP/technical: Moderate.** Polymer/ASP enhanced-recovery execution at Mangala is genuine technical differentiation, but it is late and unproven at scale.
- **Moat — Pricing power: Weak.** Price-taker on Brent; government take (profit petroleum + royalty + cess) absorbs the majority of the legacy barrel's economics.
- **Moat — Distribution/infrastructure: Moderate.** The Mangala pipeline and established evacuation infrastructure are hard to replicate for the Rajasthan barrels.
- **Value-chain position:** pure upstream (exploration & production); no refining/marketing integration, so earnings are a direct function of volume x realisation x government take.

Peer snapshot (Screener.in consolidated, fetched 04-Jul-2026):

Company	CMP (Rs.)	MCap (Rs. Cr)	FY26 Sales (Rs. Cr)	ROCE
ONGC	238	2,99,209	6,62,247	14.2%
Oil India	422	68,659	33,946	11.6%

Company	CMP (Rs.)	MCap (Rs. Cr)	FY26 Sales (Rs. Cr)	ROCE
Hindustan Oil Exploration	160	2,119	263	3.41%
VOGL (shell history)	42.8	16,733	366*	-49.2%*

*VOGL row shows the Malco Energy shell's standalone FY26 figures as displayed on Screener — not the oil & gas business. ONGC/OIL sales are FY26 consolidated.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter group:** the Anil Agarwal-led Vedanta group holds 56.38%. Group operating depth in resources is real, but the holding-company structure above (Vedanta Resources) has a history of leverage and of upstreaming cash from operating subsidiaries — the single most important governance overhang on a newly debt-free VOGL.

- **Execution track record is poor versus guidance:** the Cairn business guided toward 300 kboepd in past cycles and instead declined from ~212 kboepd (FY15) to under 80 kboepd today; capex has repeatedly run below sanctioned budgets. Guidance since FY23 has become more conservative, which is an improvement in candour.

- **Capital allocation (as demerged):** the entity starts debt-free per the scheme of arrangement, with an ICRA AA+ (stable) term-loan rating obtained 29 Jun 2026 — implying debt facilities are being put in place for the EOR/offshore capex programme.

- **Dividend policy: not yet articulated.** Shell history shows 0% payout. Whether cash flows accrue to all shareholders as dividends or find routes to the parent (brand fees, inter-company arrangements) is THE governance test to watch in year one.

- **Pledging:** promoter pledge data for the new entity is not yet displayed on Screener — N/A. Monitor the first full shareholding disclosures; group-level pledging history warrants attention.

- **Governance items on record:** SEBI SAST disclosures filed 18 Jun 2026 (post-listing promoter position); an analyst/investor meet was intimated on 21 Jun 2026; no auditor-change or qualified-opinion history exists yet for the listed entity.

SECTION 6 — FINANCIAL DEEP-DIVE (STANDALONE — SHELL HISTORY)

ALL figures below are the Malco Energy shell's standalone numbers exactly as displayed on Screener.in (fetched 04-Jul-2026). They do NOT represent the Cairn oil & gas undertaking that vests in VOGL. Screener shows only FY25 and FY26; the FY26 balance sheet and ratios are not yet published. Forward estimates are deliberately N/A — there is no canonical base to project from.

Income Statement (Rs. Cr, Standalone Figures)

Line item	FY25	FY26	FY27E	FY28E
Sales	888	366	N/A	N/A
Expenses	981	468	N/A	N/A
Operating Profit	-93	-102	N/A	N/A
OPM %	-10%	-28%	N/A	N/A
Other Income	0	14	N/A	N/A
Interest	53	57	N/A	N/A
Depreciation	43	45	N/A	N/A
Profit before tax	-188	-191	N/A	N/A
Tax %	0%	0%	N/A	N/A
Net Profit	-188	-191	N/A	N/A
EPS (Rs.)	-80.50	-81.53	N/A	N/A

Balance Sheet (Rs. Cr, Standalone Figures — FY26 not yet published)

Line item	FY25	FY26
Equity Capital	5	N/A
Reserves	-285	N/A
Borrowings	552	N/A
Other Liabilities	656	N/A
Total Liabilities	928	N/A
Fixed Assets	349	N/A
CWIP	5	N/A
Investments	0	N/A
Other Assets	575	N/A
Total Assets	928	N/A

Cash Flow (Rs. Cr, Standalone Figures)

Line item	FY25	FY26
Cash from Operating Activity	-9	-168
Cash from Investing Activity	20	-8
Cash from Financing Activity	56	92
Net Cash Flow	66	-83
Free Cash Flow	-32	-176
CFO/OP	11%	105%

Ratios & Returns (Standalone Figures — FY26 not yet published)

Ratio	FY25	FY26
Debtor Days	37	N/A
Inventory Days	N/A	N/A
Days Payable	N/A	N/A
Cash Conversion Cycle	37	N/A
Working Capital Days	-309	N/A
ROCE % (front-page display)	N/A	-49.2%

Commentary

- **The tables above are economically irrelevant to the go-forward business:** Rs. 366 Cr of FY26 sales and a Rs. 191 Cr net loss describe the Malco Energy shell, while the oil & gas undertaking that now vests in VOGL operates at multi-thousand-crore revenue scale (first consolidated disclosure awaited).
- **What the shell history does tell you:** negative reserves (Rs. -285 Cr), Rs. 552 Cr of borrowings and negative operating cash flow (FY26 OCF Rs. -168 Cr) — the residual entity was kept alive by financing inflows (Rs. +92 Cr FY26). All of this is restructured by the scheme of arrangement.
- **Go-forward drivers to model once data lands:** volume (77.7 kboepd and declining ~5% QoQ), Brent realisation, government take on legacy barrels, ASP/EOR capex, and any debt drawn under the new AA+ facilities.
- **Working capital and FCF cannot be assessed** until the first consolidated balance sheet and cash-flow statement are published; treat any third-party pro-forma numbers as unverified.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Rating	Comment
Revenue recognition	N/A	No post-demerger financials published yet; cannot assess.
Receivables growth vs revenue	N/A	Shell history only (FY25 debtor days 37); not meaningful.
Cash conversion cycle trend	N/A	Awaiting first consolidated working-capital disclosure.
Contingent liabilities	RED	+10% profit-petroleum dispute at Supreme Court; Cambay PSC litigation; legacy PSC cost-recovery matters.
Auditor tenure / opinions	N/A	No annual report filed yet as the demerged listed entity.
Related-party transactions	AMBER	Vedanta group structure: brand fees and inter-company flows are a live watch item for the debt-free entity.
Other income as % of PBT	N/A	Shell history not meaningful; reassess on first results.
Tax rate consistency	N/A	Shell showed 0% (loss-making); oil cess/profit-petroleum make the real rate structurally complex.

- **The dominant signal is absence of data:** five of eight checks cannot be run because the demerged entity has published no financial statements — an unusual and material analytical risk in itself.
- **Red flag — contingent/legal stack:** the Supreme Court profit-petroleum dispute directly moves the economics of ~80% of current output; the Cambay rejection shows the government will litigate rather than roll over extensions.
- **Amber flag — related parties:** a debt-free cash generator inside a leveraged promoter group is a classic cash-extraction setup; scrutinise the first annual report's RPT schedule and any brand-fee arrangements.

SECTION 8 — VALUATION

Peer comparison (Screener.in consolidated front pages, fetched 04-Jul-2026)

Company	CMP	MCap (Cr)	P/E	BV (Rs.)	ROCE	ROE	Div Yld
ONGC	238	2,99,209	7.18	296	14.2%	11.7%	5.15%
Oil India	422	68,659	10.4	357	11.6%	12.3%	2.72%
HOEC	160	2,119	67.0	105	3.41%	2.34%	0.00%
VOGL	42.8	16,733	N/A	N/A	N/A*	N/A	0.00%

*Screener displays -49.2% ROCE for VOGL — shell-history arithmetic, not the oil & gas business. FY26 EPS: ONGC 32.93, OIL 40.70, HOEC 4.75; FY26 net profit: ONGC Rs. 49,793 Cr, OIL Rs. 7,551 Cr, HOEC Rs. 63 Cr.

Scenario framework (price anchors are VOGL's own traded range — no earnings model exists yet)

Case	Key assumptions	PAT (Cr)	Multiple	Price framing
Bull	PSC extension clarity on acceptable terms; ASP delivers its >15 kboepd target; Ambe on-stream Q4 FY27; Brent supportive	N/A	N/A	Re-rate above the Rs. 47.7 post-listing high
Base	Decline moderates but persists; first consolidated results land without negative surprise; disputes unresolved	N/A	N/A	Range-bound Rs. 38-48 until an earnings base exists
Bear	Production slide continues >5% QoQ; adverse Supreme Court outcome; cash upstreaming to parent emerges; weak crude	N/A	N/A	Retest of the Rs. 30.4 listing-period low

Methodology

- **DCF: not run.** A DCF requires an auditable revenue/EBITDA/capex base; the canonical source carries only shell financials, and projecting from third-party pro-formas would violate this desk's data-sourcing standard.
- **Earnings multiples: not applicable yet.** P/E and EV/EBITDA are undefined until the first consolidated results; peer PSU upstream names trade at 7-10x trailing earnings (ONGC 7.18x, OIL 10.4x), which will be the natural comparator band once VOGL prints earnings.
- **Target price: Under Review.** We will set a formal 12-month target on the first consolidated quarterly disclosure, applying the PSU peer band with a discount for PSC-2030 uncertainty and group-governance risk, or a premium if the OALP/offshore volumes materialise.
- **What the market is currently paying:** Rs. 16,733 Cr of market value for ~51 kboepd of net working-interest production, ~1.4 bn boe of 2P+2C resources, a disputed-but-extendable PSC, and a clean balance sheet — the debate is entirely about durability, not multiples.

SECTION 9 — KEY RISKS

- **PSC expiry May 2030** — no extension granted beyond 2030 for the Rajasthan block that anchors ~80% of output; the Cambay rejection (Sep 2025) is an adverse precedent. Probability: M. Impact: H. Monitor via: MoPNG/DGH notifications and company announcements.
- **Sustained production decline** — Q1 FY27 gross output fell 5% QoQ and 17% YoY to 77.7 kboepd; mature water-flood reservoirs decline 15-20% naturally if EOR fails to offset. Probability: H. Impact: H. Monitor via: quarterly production releases (kboepd, Rajasthan split).
- **Crude price downturn** — a Brent slide to \$50-60 compresses the legacy barrel's economics sharply given the fixed government-take stack. Probability: M. Impact: H. Monitor via: Brent strip and realisation disclosures.
- **Governance / cash extraction by promoter group** — leveraged parent structure above a newly debt-free subsidiary; dividend routing, brand fees and inter-company loans are the vectors. Probability: M. Impact: H.

Monitor via: first annual report RPT schedule, dividend policy announcement, any inter-corporate deposit disclosures.

- **Litigation stack** — Supreme Court profit-petroleum (+10%) dispute and Cambay extension litigation; adverse outcomes directly cut realised economics. Probability: M. Impact: M-H. Monitor via: court cause lists and Reg-30 disclosures.

- **Execution on ASP/offshore growth** — management's 150 kboepd ambition versus a decade of missed targets; ASP at scale is unproven and Ambe timelines can slip. Probability: H. Impact: M. Monitor via: ASP contribution (kboepd) and Ambe first-gas date in production releases.

- **Newly listed / data-vacuum risk** — thin disclosure history, T2T listing mechanics, index-flow churn from the parent's MSCI treatment, and no earnings prints to anchor valuation. Probability: H. Impact: M. Monitor via: first results date, index review notices.

SECTION 10 — RECOMMENDATION

- **Rating: HOLD — conviction Low.** The asset is strategically scarce and the balance sheet is clean, but there is no auditable earnings base, production is declining double-digits YoY, and the licence that anchors the business expires in 2030 without granted extension. That is a watch-and-verify setup, not an accumulation call.

- **12-month price target: Under Review (N/A).** To be set on the first post-demerger consolidated results against the PSU upstream band (ONGC 7.18x / OIL 10.4x trailing P/E) with governance and PSC discounts.

- **Suggested entry zone (for special-situation risk budgets only): Rs. 33-38** — the lower half of the post-listing range, where the market has already transacted and downside to the Rs. 30.4 low is contained; we would not chase strength above Rs. 45 before results.

- **Investment horizon:** 12-18 months, spanning the first two consolidated prints, the ASP ramp evidence and any PSC-extension newsflow.

- **Thesis invalidation trigger 1:** PSC extension formally denied, or granted on terms with more than the already-disputed +10% profit-petroleum take.

- **Thesis invalidation trigger 2:** two further quarters of >5% QoQ gross production decline (i.e., run-rate below ~70 kboepd by Q3 FY27), signalling ASP has failed to arrest decline.

- **Thesis invalidation trigger 3:** any material non-dividend cash transfer toward the promoter group — inter-corporate deposits, outsized brand fees, or guarantees for parent debt.

- **Ideal investor profile:** special-situations and deep-value energy investors who can underwrite regulatory binaries and wait for disclosure to catch up. NOT for income seekers (no dividend policy), momentum strategies (no earnings prints, declining volumes) or anyone requiring audited financial history.

APPENDIX — Latest Update Brief: Q1 FY27 Production Release (no concall held yet)

VOGL listed on 15 Jun 2026 and has not yet held an earnings call or published quarterly financials; Screener's Documents section shows no transcript or annual report. This appendix therefore grades the company's first post-listing operational disclosure — the Q1 FY27 Production Release (03 Jul 2026) — plus the ICRA rating action (29 Jun 2026). Transcript-dependent items are marked N/A.

UPDATE GRADE: CAUTIOUS

Signal	Status	Implication
Result quality	Weak	Production -5% QoQ / -17% YoY; no financials published
Management tone	N/A	No concall held; release attributes decline to natural field drawdown
Guidance delta	Maintained (implicit)	150 kboepd ambition and ASP/Ambe timelines stand; no formal financial guidance yet

STRONGLY POSITIVE | POSITIVE | NEUTRAL | **CAUTIOUS** | NEGATIVE

TO MY BOSS

The headline is that our first look at VOGL as a listed company is an operational print, not a financial one, and it is soft: Q1 FY27 gross operated production of 77.7 kboepd, down 5% sequentially and 17% year-on-year, with the flagship Rajasthan block at 63.1 kboepd. There is no reported PAT or EPS to clean up because the company has published no post-demerger financials at all — the only statutory history on record is the Malco Energy shell (FY26 sales Rs. 366 Cr, net loss Rs. 191 Cr), which is noise and must not anchor any model. Underlying operations are a mature, declining water-flood asset base whose rescue case rests on ASP polymer flooding scaling to its greater-than-15 kboepd target and the Ambe offshore field arriving around Q4 FY27. The structural multi-bagger argument is real but conditional: largest private upstream franchise in an import-dependent country, roughly 1.4 bn boe of 2P+2C resources, a debt-free balance sheet ratified by ICRA's AA+ assignment on 29 June, and 53-odd OALP/DSF blocks under the friendlier revenue-share regime that the market is arguably paying little for at Rs. 16,733 Cr of market cap. The near-term catalyst is the maiden consolidated result and first earnings call, which converts this from a story stock into a modelable one and lets us set a target against the ONGC/OIL 7-10x band. The biggest watch-point is cash governance: a debt-free generator sitting under a leveraged promoter group, with the PSC-2030 extension and the Supreme Court profit-petroleum dispute stacked behind it. Management's decade of missed volume guidance means we pay for delivery, not promises. Action: HOLD; do not add above Rs. 45; special-situation money may stage in at Rs. 33-38 with a hard stop on thesis triggers; revisit the rating the day first consolidated numbers print.

1 — Financial Performance Snapshot

- NOTE: No post-demerger quarterly financials have been published. Revenue / EBITDA / PAT / EPS: N/A. The items below are the operational metrics from the Q1 FY27 Production Release (03 Jul 2026).
- Gross operated production: 77.7 kboepd | QoQ -5% (vs 81.5 kboepd Q4 FY26) | YoY -17% (vs 93.2 kboepd Q1 FY26) | **Miss** (continued decline)
- Net working-interest production: 51.1 kboepd | QoQ -5% | YoY -16% | **Miss**
- Quarterly volumes: gross 7.1 mn boe; working interest 4.7 mn boe

2 — Segment / Geography Breakdown

- Rajasthan (RJ-ON-90/1, Barmer): 63.1 kboepd | ~81% of gross output | mature MBA fields + Raageshwari gas; natural decline partially offset by infill work
- Offshore / other blocks (Ravva, Cambay): balance ~14.6 kboepd | Cambay clouded by the PSC-extension litigation; a Gujarat asset legal dispute also weighed on volumes per press coverage of the release

3 — Management Commentary Themes

- **Decline attribution:** "natural geologic field drawdown" — Our read: honest but confirms the base business shrinks without EOR delivery. Tag: EST. Tone: Transparent.
- **Balance-sheet positioning:** ICRA AA+ (stable) term-loan rating obtained 29 Jun 2026 — Our read: debt facilities being lined up for capex; watch quantum on first results. Tag: EST. Tone: Transparent.
- **Growth programme:** ASP polymer flooding ramp and Ambe offshore (~Q4 FY27 target) remain the stated path back to growth — Our read: unproven at scale; the Q1 print shows it has not landed yet. Tag: GUIDANCE. Tone: Hedged.

4 — Operating & Business Metrics

- Gross operated production: Q1 FY27 = 77.7 kboepd | Q4 FY26 = 81.5 | Q1 FY26 = 93.2 | Trend: **deteriorating**
- Working-interest production: Q1 FY27 = 51.1 kboepd | QoQ -5% | YoY -16% | Trend: **deteriorating**
- Rajasthan share of output: 63.1 of 77.7 kboepd = ~81% concentration | Trend: stable-high (single-asset risk)

5 — Margin Drivers

- N/A — no P&L has been published for the demerged entity. Structural drivers to model when data lands: Brent realisation and government take (profit petroleum + royalty + cess) on legacy barrels | Recurring: Yes; ASP opex intensity | Recurring: Yes; any one-time demerger/restructuring costs | Recurring: No.

6 — Guidance & Forward Signals

- Volume ambition [GUIDANCE]: Prior (as Cairn division) = up to 150 kboepd medium-term | Reiterated in demerger materials | Delta = maintained | Credibility: **Low-Medium** (decade of missed volume targets)
- ASP contribution [GUIDANCE]: target >15 kboepd as the ramp matures | Delta = maintained | Credibility: Medium (injection started late 2025; Q1 shows no net inflection yet)
- Ambe offshore first gas [GUIDANCE]: ~Q4 FY27 | Delta = maintained | Credibility: Medium
- Financial guidance: none given yet — first consolidated results are the gating event

7 — Capital Allocation

- Capex: FY27 quantum not yet disclosed by the listed entity | EOR (ASP), tight-oil and offshore programmes sanctioned at group level pre-demerger | Comment: AA+ rating suggests a debt-funded programme
- Dividends: no policy announced | Comment: the single most-watched governance signal for year one
- Buybacks: none | Net debt: demerged debt-free per scheme; first balance sheet awaited | Working capital: N/A

8 — Q&A; Heat Map

- N/A — no earnings call has been held. An analyst/investor meet was intimated on 21 Jun 2026 (Reg-30), but no transcript is on record.
- Dodged / watch-list questions for the first call: PSC-2030 extension strategy and fallback; FY27 capex and its funding mix; dividend policy; brand-fee/RPT framework with the parent; ASP kboepd run-rate and exit-FY27 target; Gujarat/Cambay litigation exposure quantification.

9 — Risks Flagged

- Natural field decline: mature reservoirs drawing down 15-20% without intervention | Flagged by: company release | Probability: H | Impact: H | Timeline: near-term
- Gujarat asset legal dispute weighing on volumes | Flagged by: company/press | Probability: M | Impact: M | Timeline: near-medium

- PSC-2030 / profit-petroleum dispute | Flagged by: public record (Supreme Court; Cambay rejection Sep 2025) | Probability: M | Impact: H | Timeline: medium-term

10 — Analyst Verdict

- Revenue visibility: **Cannot assess** — no financial statements exist for the demerged entity yet
- Margin trajectory: **Cannot assess** — same disclosure gap; barrel economics hinge on the disputed government take
- Capital allocation quality: **Cannot assess** — debt-free start and AA+ rating are constructive, but no deployment record as a listed company
- Competitive moat: **Intact** — scarce, scaled upstream franchise; the moat is the resource base and infrastructure, not pricing
- Management credibility: **Weakened** — long record of volume-guidance misses; recent conservatism is an improvement but unproven
- Valuation comfort: **Cannot assess** — no earnings base; peer band (ONGC 7.18x, OIL 10.4x trailing P/E) is the reference once results print
- Conviction call: **Insufficient Data** — HOLD stance; re-underwrite on the maiden consolidated results
- Valuation snapshot: P/E = N/A (5Y avg N/A) | EV/EBITDA = N/A (5Y avg N/A) | RoCE = N/A for the oil & gas business (Screener shell display: -49.2%)

Sources: Screener.in standalone page for VOGL and consolidated pages for ONGC / OIL / HINDOILEXP (all fetched 04-Jul-2026); VOGL Q1 FY27 Production Release (03 Jul 2026); ICRA rating announcement (29 Jun 2026); listing/demerger public disclosures (Jun 2026). This report is for internal research use only and is not investment advice.